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America's carmakers cannot escape Chinese EVs for ever

Can they stay relevant?



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THE ART DECO skyscrapers of downtown Detroit, built when money flooded into “Motor City” in the 1920s, attest to the early years of America’s long dominance of carmaking. Though the industry’s centre of gravity has shifted to China, the stamp of the “Big Three” endures. This year General Motors (GM) moved to swish new headquarters in the city. Last year Ford relocated its head office within its home suburb of Dearborn. The American base of Stellantis, of which Chrysler Group is now part (and whose biggest shareholder, Exor, part-owns *The Economist’s* parent company), is still in Auburn Hills, another suburb.

These commitments may be interpreted as a circling of the wagons as much as a sign of confidence. Tariffs and regulatory changes have favoured gas-guzzlers over the electric vehicles gaining popularity elsewhere in the world. Detroit dominates the manufacture of the mammoth pickup trucks and monster SUVs that Americans love, and they are highly profitable. But in relying on petrol power behind protectionist barriers, America’s carmakers risk falling behind competitors—mainly from China—in an industry that EVs will one day take over.

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The Big Three have a recent “history of retrenchment”, says Philippe Houchois of Jefferies, a bank. In 1950 three-quarters of the world’s cars were made in America; now barely an eighth are. GM quit Europe in 2017, selling chronically loss-making Opel to Groupe PSA, now part of Stellantis. Ford’s share of the European market collapsed after it stopped making popular smaller models and failed to excite motorists with its EVs. In China, ultra-competitive locals have routed both GM, whose market share has fallen by roughly half in a decade, and Ford, which has lost two-thirds.

As recently as 2004 GM was the world’s biggest carmaker, selling 8.4m vehicles a year, but last year was only fourth, with 6.2m. Ford has dropped from third to seventh. Even at home, the Big Three’s combined share has dwindled from over 90% to around 40%. Stellantis, an amalgam of American and European brands formed by the merger of Fiat-Chrysler and PSA in 2021, sold just 1.3m cars in America last year, less than half the tally in 2004.

The supposed safety of insulation from the forces reshaping the industry—electrification and the rise of China—has come at a price. Joe Biden’s administration imposed 100% tariffs on Chinese EVs in 2024, shutting out the cars that have rapidly taken nearly a tenth of the European market. Donald Trump’s rolling-back of Mr Biden’s emissions regulations and subsidies for EVs has allowed America’s carmakers to ease up on electrification. But past bullishness on EVs has been costly. Ford wrote down nearly \$20bn last year and Stellantis \$26bn, mostly for scaling back EV plans; GM took an \$8bn hit.

Mr Trump’s trade policies have also hurt. Past free-trade deals encouraged shifting production of cars and parts to Mexico and Canada. Now hefty tariffs on non-American content, intended to bring manufacturing home, have cost Detroit billions. A renegotiation of the latest agreement, due to begin in July, may require even greater American content of vehicles to qualify for tariff-free trade, potentially raising costs further.

past year (see chart): investors prize the short-term opportunity to sell profitable petrol vehicles in America for longer. Stellantis, whose shares have shed nearly 30% since Antonio Filosa took over as boss last June, is placing a similar bet. A plan unveiled on May 21st proposes that 60% of the €36bn (\$42bn) to be invested in its brands in the next four years be allocated to North America, where returns will be greatest. Analysts welcomed the plan, in theory, but question whether it can be put into practice.

To focus on the world's largest car market after China is not exactly daft, even if it has shrunk by around 1m vehicles since the pandemic—to around 16m a year—and growth will be sluggish at best. “Our international footprint is smaller than it was historically,” says Paul Jacobson, GM’s chief financial officer, “so we’re primarily focused on our strongest market, North America, and also regions like South America and China.” There is scant foreign competition in the market for the vehicles that are the biggest money-spinners, and so far electrification of these has been unsuccessful. Ford discontinued its F-150 Lightning, an electric version of its bestselling pickup, in 2025. GM and Stellantis have scrapped plans to make their big pickups in EV form.



Mark Wakefield of AlixPartners, a consultancy, says the “wall” to keep out the Chinese gives American carmakers the runway and money to catch up. Despite everything, cashflow is buoyant at both GM and Ford. Although some factories once earmarked for EV production are being repurposed for petrol vehicles

once earmarked for EV production are being repurposed for petrol vehicles, Stephanie Brinley of S&P Global, an information provider, points out that EV investment is “shifting in scale but still happening”.

Ford has created a “skunkworks” in California, brimming with software engineers and other techies. A new EV platform that can scale rapidly to underpin several models is positioned to go “head to head” with the Chinese, says Andrew Frick, president of Ford’s petrol- and electric-car businesses. The first product, a \$30,000 small pickup, is expected by 2027. At GM’s sprawling global tech centre in Warren, half an hour’s drive from HQ, work continues on developing its latest batteries with novel lithium and manganese chemistry that will slash costs without affecting performance. Mr Filosa insists that Stellantis is not “abandoning EVs” in America and that its large European business and collaboration with Chinese partners mean it will be ready to compete. “Europe is a laboratory for EVs.”

Will this be enough, at least for the Big Three to stay ahead at home? The combination of tariffs, regulations that will ban cars with Chinese software and hardware and—even in a politically divided country—broad agreement on the threat of Chinese tech, seem formidable obstacles to Chinese competitors. Mr Filosa reflects the thinking of many in Detroit when he says he doesn’t foresee Chinese carmakers in America “at least for a few years”.

But America’s big carmakers are in a tough spot, because the Chinese are so much further ahead and it is “only a matter of time” before they arrive, says Charlie Chesbrough of Cox Automotive, another data firm. And the Chinese are patient. Chery, a state-owned carmaker, says it will launch in America at a “suitable time”, perhaps in two or three years. They already have a toehold. Geely, China’s second-largest car firm, owns Volvo, a Swedish firm with a factory in South Carolina. It could get around restrictions by making cars there, even under its Chinese Zeekr and Lynk&Co brands. Several Chinese brands also have design and R&D centres in America.

Mr Trump also seems open to letting in Chinese firms. In January he left Detroit’s bosses aghast when he declared in the city that it would be “great” if Chinese car firms built factories and provided jobs in America. Jim Farley, Ford’s boss, has said that letting in the Chinese would be “devastating”. though

he has reportedly also suggested they be obliged to enter joint ventures under American control.

They are already just across the borders. GAC, another state firm, is about to start assembling cars in Mexico, where Chinese imports have swiftly captured 15% of the market. BYD and Geely are said to be eyeing factories in the country. BYD is also considering a factory in Canada, which recently inked a deal allowing annual imports of 49,000 Chinese vehicles with minimal tariffs.

Foreign carmakers, battling the Chinese in Europe and around the world, have also been forced to up their EV game. They will surely want to sell in America too. One way or another, Chinese competition will come to America. The Big Three will have their work cut out to live up to Detroit's past grandeur. ■
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